

CRIME INVESTIGATION — VICTIM & INCIDENT REPORT

Case Reference: CHN-2025-FR-0034

Prepared by: Inspector Meenakshi Sundaram, Economic Offences Wing, Chennai

Date: Complaint Filed: 5 November 2025 | Report: 7 November 2025

1. Victim Overview

The victims in this case are approximately 340 investors — primarily middle-class individuals, retired government employees, and small business owners — who invested their savings in a chit fund scheme operated under the name 'Lakshmi Prosperity Chit Fund Pvt. Ltd.', registered in Chennai. Total investment amount defrauded: Rs. 4.8 crore. The company promised monthly returns of 3.5% — far above market rates — and used early investor payouts funded by new investor money, a classic Ponzi structure. The scheme collapsed in October 2025 when the company's offices were found locked and the promoters were unreachable.

2. Incident Summary

Lakshmi Prosperity Chit Fund Pvt. Ltd. was incorporated in January 2023 and operated for approximately 22 months before collapsing. The company operated from an office in Anna Nagar, Chennai, and had branch collection agents across Tambaram, Velachery, and Porur. On 28 October 2025, investors who arrived for their monthly payout found the office shuttered. Phone numbers of promoters were switched off. A group of investors filed a complaint with the Economic Offences Wing on 5 November 2025. Investigation revealed that key promoters had transferred funds to multiple bank accounts and made cash withdrawals totalling Rs. 3.1 crore in the two weeks before the office closure.

3. Company Structure and Operations

The company was officially registered with three directors: Subramaniam Pillai (Managing Director), Kavitha Subramaniam (Director — Finance), and a third director who appears to be a shell/nominee. Monthly collection from investors was routed through 8 different bank accounts across 4 banks. A network of commission-based collection agents was used to recruit new investors, each receiving 2% commission on funds collected. The company had a professional-looking office, printed brochures, and a website — all designed to project legitimacy.

4. Financial Trail

Rs. 4.8 crore collected from 340 investors over 22 months. Approximately Rs. 1.7 crore was paid out as returns to early investors — maintaining the Ponzi structure. Rs. 3.1 crore remains unaccounted. Bank records show Rs. 1.4 crore transferred to accounts in Subramaniam Pillai's wife's name in the two weeks before closure. Rs. 80 lakh transferred to a Bengaluru-based

shell company account. The remainder is suspected to be in cash or moved overseas. Investigators are working with the Enforcement Directorate on money laundering angle under PMLA provisions.